

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

The risk of material misstatements in relation to trade receivables are low. Reasons are as follows:

- Consultation and surgery fees are clearly listed in the price list which is available at the clinics and on the website of Insight. Surgery charges are communicated and agreed with patients before the surgery are carried out. All sales receipts are pre-numbered. Sales receipts are provided to patients after payment as an evidence that both Insight and the patients acknowledge the amount received and paid respectively. The revenue recognition of Insight is straight-forward. Sales are recognised upon the completion of the consultation and/ surgery services. Patients pay immediately. Sales transactions are recorded into "Accounting Plus" with sales receipts are generated simultaneously. In addition, the trade receivable turnover day for years 2019 and 2018 are both 36.6 days. The risk of material misstatements in terms of completeness, accuracy and cut-off are low.
- Considering the nature of Insight's business which involves a relatively large number of patients and significant amount of personal data have to be collected from the patients, the risk of fictitious customers creation by Insight is considered to be low. In addition, there is restricted access in place around "Accounting Plus" and "Patient-in", the risk that the trade receivable could be manipulated is low. Therefore, the risk of material misstatement in terms of existence is low.
- Most of the trade receivables of Insight are generated from sales settled by credit card, and therefore the receivables are due from the credit card companies, which are usually financially healthy and able to repay on time. There was no bad debt written off and provision for bad debt in the past. The recoverability risk of the trade receivables are low. Therefore, the risk of material misstatement in terms of valuation is low.

Answer 1(b)

The relevant audit procedures should include the following:

- Inquire management to understand management's controls over the sales and receivable cycle;
- Perform a walk-through test to understand and evaluate management's controls over the sales and receivable cycle;
- Validate the key management controls of the sales and receivable cycle;
- Obtain the trade receivable sub-ledger from management, check casting of the trade receivable sub-ledger and agree the total balance stated in the trade receivable sub-ledger to the general ledger;

- Circulate confirmation to respective credit card companies to confirm the existence of the trade receivables as at the reporting date;
- Follow up non-reply confirmation by calling the credit card companies;
- Examine monthly statements from credit card companies as an alternative procedures if there is no confirmation received from the credit card companies;
- Obtain statements from private hospitals to verify the occurrence of the surgery and the related charges to the patients;
- If there is discrepancy identified between the amounts stated in the confirmation and the trade receivable sub-ledger, follow up with management for a reconciliation of the difference noted;
- Inquire management about the nature of the discrepancy noted and examine relevant documents which support the discrepancy;
- Request management to provide the settlement records of the outstanding trade receivables after year end;
- Test the receipts of the settlement from the credit card companies;
- Request management to provide ageing analysis of the trade receivables;
- Test the reliability of the data populated in the ageing analysis provided by management;
- Inquire management if there are reasons for aged trade receivables; and
- Obtain from management their assessment of expected credit losses against the trade receivable balance, discuss and understand the basis of their assessment (e.g. whether debtors' historical repayment pattern and/ or other forward looking factors have been considered) and assess whether management's assessment is reasonable.

Answer 2

There may be potential understatement of provision for the litigation costs and the compensation claims from the young patient in the financial statements. There may also be insufficient disclosures to the financial statements about the incident and its impact to the financial statements.

The related audit procedures in addressing the risk should include the following:

- Inquire with management the details about the litigation and the negligence case;
- Inquire with management whether they have made provision against the litigation and the possible compensation claims;
- Conduct litigation search to check if there are any similar cases exist;
- Understand and discuss with management their basis on estimating the litigation costs and the possible compensation claims;
- Understand from management if such compensation claim is covered by any insurance;
- Review management's correspondence with their lawyer, insurance company and the young patient during the year and post year end;
- Send letter to Insight's lawyer to obtain the lawyer's view about the case;
- Scan through the legal and professional fee paid during the year;
- Search if there are payments made for litigation costs and the compensation claims after the year end and compare the actual amounts paid with the provision made at the year end;
- Assess the adequacy of the provision made for the litigation costs and compensation claims after considering all collaborated information obtained;
- Obtain from management a written representation that all known actual and possible litigations and claims are identified and disclosed to the auditor and whose effects are considered when preparing the financial statements; and
- Consider the adequacy of financial statements disclosures of provisions and contingent liabilities in accordance with HKAS 37 *Provision, Contingent Liabilities and Contingent Assets*.

Answer 3(a)

The net profit of Insight for the year ended 31 December 2019 amounted to HK\$36,735,000. The overall materiality of Insight was set as HK\$1,800,000 which approximate 5% of Insight's 2019 net profit. The de minimis level was set at HK\$90,000 which approximate 5% of overall materiality. Considering Insight is a profit-oriented company, it is reasonable to assess the materiality adopted for the audit using net profit for the year as the relevant benchmark. It is reasonable to set the overall materiality of a profit-oriented company as 5% of its net profit and to set the de minimis level as 5% of overall materiality.

Answer 3(b)

- (i) As the under-provision of compensation claims of HK\$200,000 is below the overall materiality of HK\$1,800,000, but exceed the de minimis level of HK\$90,000, the misstatement may not be adjusted but considered as an unadjusted misstatement.
- (ii) Lee & Co should discuss the misstatement with the directors and understand from the directors their decision on adjusting the misstatement into the financial statements of Insight for the year ended 31 December 2019. If the directors consider such misstatement is not material individually and in aggregate with other misstatements to the financial statements as a whole and decide not to adjust the misstatement into the financial statements of Insight for the year ended 31 December 2019, Lee & Co should request the directors to include such misstatement in their representation letter to Lee & Co.

Lee & Co should also validate the amount of the misstatement through inspecting the corresponding support documents (e.g. legal letter, court correspondence, compensation settlement agreement entered into between Insight and the patient).

Answer 4(a)

Based on the gross profit analysis by clinic prepared by the Insight, the risk of material misstatements in relation to property, plant and equipment (including right-of-use assets) in terms of valuation assertion of the clinics at Central, Tsim Sha Tsui, Mongkok and Kwun Tong is low as the clinics are consistently making profit.

The risk of material misstatements in relation to property, plant and equipment in (including right-of-use assets) terms of valuation assertion of the clinic at Tsuen Wan is high as the clinic has been making loss for two consecutive years.

Answer 4(b)

The relevant audit procedures should include the following:

- As the gross profit analysis by clinic which Lee & Co relied on for the risk assessment in relation to property, plant and equipment (including right-of-use assets) is an important information prepared by Insight, the gross profit analysis should be thoroughly tested by Lee & Co for its accuracy and completeness before Lee & Co decide to rely on it;
- Test the fixed asset addition purchased during the year to the supporting documents, such as supplier invoice and contract;
- Perform a reasonableness test on the depreciation charge to ensure the fixed assets are depreciated in accordance with the appropriate useful lives of the respective fixed assets;
- Consider whether management's estimate of useful lives of the fixed assets is reasonable by performing benchmarking analysis taking into account useful lives of similar assets in the industry;
- Request and obtain from management their asset impairment assessment for the Tsuen Wan clinic;
- Discuss with management to understand their business plan and financial budget of the Tsuen Wan clinic;
- Assess whether appropriate valuation method (e.g. discounting model) has been adopted for the asset impairment assessment;
- Assess the reasonableness of the key assumptions used in the valuation model. For example: revenue growth, gross margin percentage, rental expenses, staff costs, etc;
- Check calculation accuracy of the valuation model by re-performing the calculation;
- Inquire with management if there is a second hand market for their equipment and the related price range; and
- Perform independent research on available resales price of the equipment.

Answer 5

Insight should consider the following areas of improvement on corporate governance:

(a) Composition and balance of the board

Currently only Dr Wong and Dr Chan are the board of directors of Insight who make all key business decision for Insight. Considering Insight has a plan to further expand its service scope and operation in mainland China, the skill and expertise of Dr Wong and Dr Chan may not be sufficient for coping with the expansion. It is suggested that Insight can expand and balance the composition of the board of directors to include directors with skills and talents from several specialisms relevant to Insight's future development. For example, Insight should consider to recruit directors who has experience in business development in mainland China or directors who has knowledge and expertise in other medical services other than ophthalmic services.

(b) Reliability of financial reporting

The accounting team of Insight is currently supervised by a newly recruited accounting manager who has accounting and auditing experience mainly in Hong Kong. Considering Insight's future development in mainland China, Insight may need additional funding for business expansion and accounting staff with knowledge on the mainland China accounting standards and tax laws. It is suggested that Insight should consider to recruit a more experienced person with both finance and accounting knowledge and experience in dealing with mainland China matters.

(c) Cash advanced to Dr Wong's brother

Insight has advanced HK\$10 million to Dr Wong's brother during the year. The cash advance is not secured, with no fixed repayment terms and interest-free. The cash advance to Dr Wong's brother by Insight is significant. However, the terms of borrowing seems not for the best interest of Insight. For mitigating the potential default risk by Dr Wong's brother and a fair return, Insight should consider to re-negotiate the terms of borrowing with Dr Wong's brother. Insight should consider the following:

- demanding a pledged asset for the loan (e.g. the property of Dr Wong's brother in Tin Hua);
- charging an interest on the loan based on the market price; and
- entering into a formal loan agreement with Dr Wong's brother with specified repayment terms.

* * * END OF SECTION A * * *

SECTION B – ESSAY/ SHORT QUESTIONS (Total: 50 marks)

Answer 6(a)

The audit team should ask the management the following questions:

- Whether there are active buyers in the market who are negotiating with the management for the sale and lease back arrangement;
- Whether the property market is active and the market value of the land is able to cover the full repayment of the bank loan. If there are residual proceeds, understand whether the amount of the residuals is sufficient to repay the outstanding debts owe to the creditors;
- How long the process for the sale of land will take, as it is critical for Star Printing Limited ("SPL") to obtain the proceeds timely;
- Whether written or informal notice has been received from the bank which indicated the demand for full repayment following the default in repayment;
- Whether there are any negotiations happening between the management and the bank;
- Are there any proposals from the bank for loan restructuring? Any indication of the extension of the repayment schedule?
- To what scale that the management is considering downsizing or any detailed plan for the downsizing? Will they dismiss some of the employees? If so, will it bear additional severance payments? What is the time-line to implement this measure?
- Regarding the repositioning its business, what kind of businesses that the management is exploring? Does the existing team have the required skills and competences? Does the company require to make further capital investment, and if so, how much is it? What is the time line to implement this plan?

Answer 6(b)

The audit team should perform the following audit procedures:

- Analyse the forecasted profit and cash flow estimated by management, compare it to the most recent historical trend;
- Review the latest management accounts to confirm management representation without exceptions;
- Identify if significant litigations against SPL have been taken place which may impact to management's current plan;
- Obtain the market information for the land to ascertain if there are recent transactions. Obtain the latest rental amount and ascertain if the management has estimated a reasonable rental expense in their forecast;
- Obtain evidence to support the estimated market value of the land, if possible, engage internal expert to determine the approximated market value of the land with lease back arrangement and compare it to the management's estimated value;
- Obtain management's cash flow forecast which reveals the quantitative analyses by putting these assumptions and possible outcomes, evaluate if adequate cash flows are retained;
- If the audit team is familiar with the legal process for the sale of land in the market, evaluate if a feasible time could be achieved to obtain the proceeds; if the audit team is not familiar with the legal process, enquire the company legal counsel for confirmation;
- Obtain any written evidence which indicated the communications between the bank and SPL;
- If loan repayment extension has been granted by the bank, obtain direct confirmation from the bank;
- Obtain the quantitative analysis regarding the upcoming change of the business scale by the management, e.g. if a termination of its existing staff is required to support the new business plan, management is required to incorporate the estimated cash outflows for any severance payments to its existing staff;
- Obtain a list of capital commitments and ensure that management has taken these commitments into account;
- Obtain latest management meeting minutes to ascertain if these measures were discussed and any additional information; and
- Perform sensitivity analysis to evaluate if significant shortfall will result.

Answer 7(a)

The provision of IT services by the IT team of Cho & Co may create self-review threat because the inventory system forms a significant part of the internal control over financial reporting. The inventory system will generate information that is significant to O'Neil's accounting records or financial statements on which Cho & Co will express an opinion.

Nevertheless, the IT services proposed by O'Neil's management does not involve any design or implementation of O'Neil's inventory system. The services are limited to advisory in nature where no management role has been assumed. Accordingly, a self-review threat is considered to be insignificant.

Possible safeguards could be applied, such as the use of different IT teams in the advisory engagement and the subsequent audit engagement.

Answer 7(b)

In accordance with paragraph R420.3 of the *Code of Ethics for Professional Accountants*, in general, an audit team member should not accept gifts and hospitality from an audit client, unless the value is trivial and inconsequential.

By accepting the membership from O'Neil, self-interest and familiarity threats have been created. It is subjective whether the value of the membership is insignificant. To avoid unnecessary threat on its independence, the team members should decline the gift from O'Neil.

Answer 7(c)

Although O'Neil has an internal audit director to supervise the work executed by Cho & Co, it is inappropriate for Cho & Co to provide such internal audit service especially O'Neil is a public interest entity. This internal audit service forms a significant part of the internal controls over financial reporting. The outcome of the accounting records would be subject to Cho & Co's audit who will express an opinion. It also appears that Cho & Co has assumed management role and report to those charged with governance. Accordingly, the self-review threat is so significant and there are no other safeguards which can reduce the risk.

Answer 8(a)

The audit approach for testing the effectiveness of Sky Limited's IT systems should comprise:

All the three systems, including billing, procurement, and financial reporting should be tested because they form a significant part in the financial reporting process which generate financial information of Sky Limited.

The testing of these systems should cover both general controls and application controls.

In auditing general controls, the auditor verifies that:

- (a) There is segregation of duties to reduce the risk of employee fraud or limitation of the scope of authority of any individual;
- (b) There are comprehensive written standards and any changes are appropriately documented; and
- (c) Access to and use of computer terminals is properly authorised.

The extent of the procedures the audit team perform to assess these controls depends upon their previous knowledge and experience of the information system, and the results of the risk assessment procedures already carried out.

As the sales and procurement processes are fully automated, the audit team should identify application controls in these systems in order to ascertain if effective controls have been in place on which the auditor could rely.

In addition, the audit team should test the interface between the billing/ procurement systems and the financial reporting system to ensure such interface was properly carried out.

The above testing should cover the whole year for all the three systems.

Answer 8(b)

The break-down of the systems in the middle of the year gives rise to a higher risk, the audit approach should be changed to respond to the increased risk level. The audit team should understand if there were manual controls in place to mitigate the risk of material misstatement and test these controls. Alternatively, the audit team can change its approach by performing substantive testing of the transactions for the second half of the year to ensure no material misstatements were caused by the system break-down.

Answer 9(a)

The external actuary is a management's expert. A management's expert is an individual or organisation possessing expertise in a field other than accounting or auditing, whose work in that field is used by the entity to assist the entity in preparing the financial statements.

HKSA 500 *Audit Evidence* requires the auditor to:

- Evaluate the competence, capabilities and objectivity of that expert;
- Obtain an understanding of the work of the expert; and
- Evaluate the appropriateness of that expert's work as audit evidence for the relevant assertions.

In this case, the auditor should consider the following when evaluating whether they can rely on the work of the external actuary.

- Is the external actuary professionally qualified?
- Does the external actuary have appropriate experience in pension schemes?
- Can the external actuary perform his work objectively?
- Whether the external actuary has any financial interest in Speed Railway Limited ("SRL")?
- Whether the management and the external actuary has a close relationship with the directors of SRL?

Answer 9(b)

When an in-house actuary is used for the determination of pension costs, the reliability of the estimation performed by the in-house actuary would reduce because there will be a self-interest threat and familiarity threat created. The in-house actuary may not be able to perform the work objectively.

Since the auditor does not have any internal actuarial expert, it is not able to perform any independent work to audit the pension costs estimated by this in-house management expert. The auditor may consider engaging an external actuary to assess the pension costs estimated by the in-house management expert.

* * * END OF EXAMINATION PAPER * * *